

to wait for tangible progress, even if it is the most efficient.

So take a look at your debts and ask yourself if you have the discipline to stick to the high-interest-first plan. If not, try paying off a few smaller debts to get your legs under you and then reevaluate. — **Nora Dunn**



Dirty Secrets Credit Card Companies Don't Want You to Know

The average American household has two to three credit cards and is carrying roughly \$9,000 in credit card debt. If that's not bad enough, the credit card companies are involved in what can only be described as a conspiracy to keep Americans in debt, permanently.

So, you may want to sit down for these.

1. Minimum payments can take more than 35 years to repay.

The minimum monthly payment used to be 5%. That caused a problem for the credit card issuers. Folks were being forced to pay off their balance too quickly. *Plus* the cost of that 5% minimum made people wary of running up high bills. The solution was genius. Institute a 2% minimum payment. Not only will people splurge more because they have to pay less back each month, but it adds thousands of dollars in interest and increases the repayment time by *decades*. Sneaky doesn't even cover it.

2. There is NO LIMIT put on late payment charges.

This is something no other industry could get away with. You'd think there would be some kind of law preventing the banks from charging loan shark penalties, but there isn't. Be just one hour late for a payment and instead of a \$5 or \$10 fee (which, prior to the 1996 *Smiley vs. Citibank* case, was the limit), you're looking at \$28, at least. My credit card charges \$36.